

Also, he had three sons, whereas Morris had only two. So Chester feared his family's stake would be diluted when it came time for his ownership stake to be passed to the next generation.

To counter this, Chester and his accountant proposed an "estate freeze" in which Chester's three sons and Morris's two sons would each inherit an equal 20 percent of the company. Morris realized that this proposal gave control of the company to Chester's sons, since three could outvote two. And he rejected the scheme.

At this point, Chester realized that he and his sons could bilk compensation out of the business in various ways. They formed side businesses that provided services to the company at inflated prices.

In 1983, Morris was having heart problems and was to undergo open-heart surgery. At that point, Chester got him to sign some documents that essentially gave away Morris's half of the business to Chester. Morris pleaded with his brother to destroy the documents after he realized what had happened.

For five years, Morris continued to demand that his brother return his rightful share of the business.

As a last resort, Morris and his sons filed suit against Chester's side of the family. The lawsuit dragged on for 14 years.

During that time, Chester and his family sold off the business's assets, and in 1993, they sold the core business for \$30 million. And they secured long-term contracts for themselves with the new owner.

In her 440-page ruling, the Ontario Superior Court's Madame Justice Mary Anne Sanderson decided in favor of Morris in the case of *Waxman vs. Waxman*.

The judge ruled that Chester had "duped" Morris out of his 50 percent share of the family business.

The ruling reinstated Morris as half-owner of the company and ordered Chester and his family to return his share of profit and bonuses pocketed since 1984.³

In March 2007, the family business and Chester's family holdings were ordered into liquidation. Chester Waxman died of lung cancer in 2008.

The trial became the longest civil suit in Ontario history and racked up \$5 million in legal fees.